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FX Forecast Update

Upward pressure on EUR/DKK

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FX market overview

Recent developments: US data blackout leaves markets in wait-and-see mode

- Since our last FX Forecast Update on 19 September, the US government shutdown has resulted in a public data blackout, largely leaving the Fed in limbo. Amid an uncertain macro backdrop, the Fed is widely expected to deliver a rate cut at the October meeting, reflecting both market pricing and a continuation of its risk-management approach from September. This has supported a bullish steepening of the US yield curve and left markets in a wait-and-see mode. At the same time, renewed global trade tensions have fuelled risk-off sentiment, driving a temporary sell-off in equities and cyclically sensitive currencies such as NOK, AUD, ZAR, and NZD. Mounting debt concerns in France and Japan have also weighed on sentiment.

FX implications: temporary rebound in USD and headwind for cyclically sensitive currencies

- Over the past month, EUR/USD has traded lower around the 1.16-1.17 range, driven by favourable US rate differentials and safe-haven flows. Fiscal and economic concerns in Europe and Japan have weighed on the EUR and JPY, reinforcing the USD as the preferred option. The risk-off environment has also been unfavourable for high-beta currencies. Among the Scandies, EUR/SEK has been rangebound, while EUR/NOK to a larger extent has found support from souring risk appetite and lower commodity prices. JPY has come under pressure, underperforming broadly across the G10 following the unexpected Takaichi victory. Lastly, EUR/DKK has risen towards the top of the historic trading range

Outlook: bearish on USD and Scandies

- We continue to see EUR/USD on an upward trajectory, targeting 1.22 on a 12M horizon, supported by rate differentials, a recovering European asset market, reduced global demand for restrictive policy, continued tailwinds from hedge ratio adjustments, and waning confidence in US institutions. In the near term, however, we are tactically bearish on the cross as we see the balance of risks tilted toward further USD strength. For EUR/SEK, weak cyclical growth and unfavourable rate differentials support a move higher, while the structural capital flow balance remains a medium-term headwind for SEK. For EUR/NOK we also maintain a bullish long-term view, based on the divergence in relative unit labour costs that creates an underlying real appreciation pressure on the real effective Norwegian Krone. In the short term, global factors like US economic health and Fed policy direction pose topside risks to both EUR/SEK and EUR/NOK.

Key risk to our forecasts: greater downside risk to USD than entailed in our projections

- Risks to our forecasts are predominantly tied to the US outlook. If the capital rotation out of US assets continues and a sharp US recession hits, EUR/USD could break substantially higher than our forecast suggests. In this environment, commodity currencies would also face a larger hit. Conversely, persistent resilient US data and/or renewed euro area weakness that could prompt the ECB to cut again this year could keep the USD stronger-for-longer. We highlight that a stagflationary shock to the US economy might not necessarily be positive for the USD - even if the Fed refrains from cutting rates (or delivers hikes) – as the US investment case in such a scenario would suffer.

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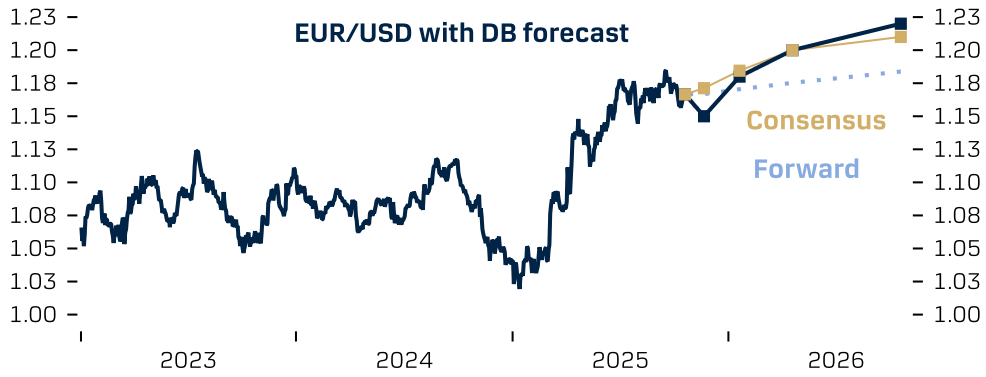
EUR/USD – tactically bearish, strategically bullish

- **Cyclical outlook.** Due to the government shutdown, US tier-1 data has been limited since our latest forecast update. Overall, recession fears have eased as growth momentum remains robust, with the Atlanta Fed GDP nowcast close to an annualized 4%. The labour market, however, is cooling, which remains the Fed's primary focus. While inflation remains above the Fed's 2% target, price pressures are relatively contained. We continue to expect modest price increases and gradual growth cooling through Q4, with the risk of a more pronounced slowdown appearing limited at this stage. In the euro area, growth is holding up better than expected. Businesses have remained resilient despite tariff uncertainty, and downside risks appear smaller following the recent US-EU trade deal. We expect euro area inflation to average 2.1% in Q4 before falling below target, averaging 1.8% y/y in 2026.
- **Monetary policy.** After the Fed delivered the expected 25bp September cut, it appears likely that, given the lack of incoming data and markets fully pricing in another cut at the October meeting, the Fed will proceed with a sequential cut then. However, we think the cyclical resilience of the US economy and upside risks to inflation could potentially lead the Fed to pause in December. In the euro area, recent developments suggest the ECB has concluded its rate-cutting cycle for this year. All else equal, monetary policy continues to favour near-term downside in EUR/USD.
- **External balances.** Fundamentally, the case for 'US exceptionalism' is fading, leaving the greenback increasingly exposed.
- **Valuation.** We estimate EUR/USD fair value over a 1–3Y horizon to be just above 1.20, making valuation a structural tailwind for the cross. Key factors to watch include potential structural capital rotation out of US assets, the evolving global energy landscape, and euro area fiscal policy.
- **Positioning.** CFTC IMM data shows that non-commercial EUR/USD positioning is broadly neutral from a historical perspective.

Forecast: 1.15 (1M), 1.18 (3M), 1.20 (6M), 1.22 (12M)



	1M	3M	6M	12M
Danske Bank	1.15	1.18	1.20	1.22
Consensus	1.17	1.18	1.20	1.21
Forward	1.17	1.17	1.18	1.18

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks to our forecast include stronger-than-expected US data and/or renewed euro area weakness that could prompt the ECB to cut again this year.
- **Conclusion.** EUR/USD has generally trended lower since our latest update. We think this trend could continue in the near term. The near-term balance of risks remains tilted toward further USD strength, supported by continued short-covering, resilient US cyclical momentum, and favourable near-term rate differentials. However, any USD strength is likely to be tactical, as we continue to see EUR/USD on an upward trajectory, supported by rate differentials, a recovering European asset market, reduced global demand for restrictive policy, continued tailwinds from hedge ratio adjustments, and waning confidence in US institutions.

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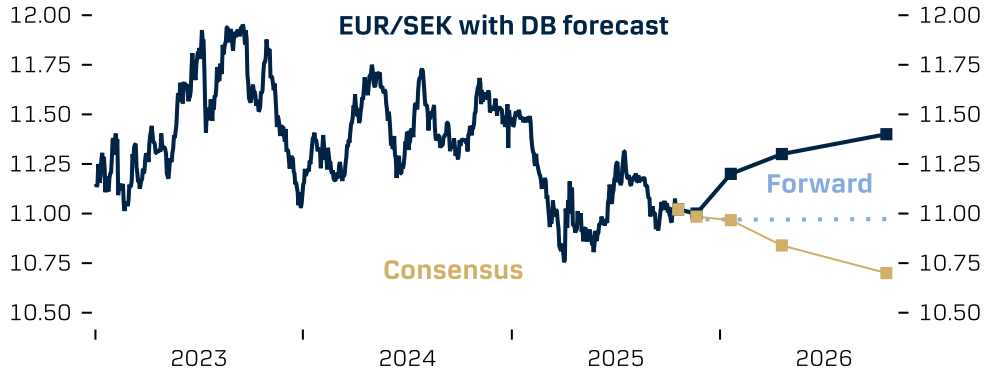
EUR/SEK – capital flow balance, headwind for the SEK

- **Cyclical outlook.** It has been long overdue, but it finally seems like Swedish growth momentum has turned more positive. Albeit notoriously volatile (and not seldom under significant revisions), the GDP indicator surprised to the upside in August and other inputs such as consumption and labour market data supports a slightly more positive outlook for what remains of the year. That said, it bears remembering that we have seen our share of false starts over the past years and that the starting point is weaker than what we had anticipated a year ago. Nevertheless, with the supportive policy outlook, we are reaffirmed in our call for a Swedish growth normalization in 2026.
- **Monetary policy.** The Riksbank (RB) defied market pricing (and our call) and cut the policy rate to 1.75% already at the September meeting (Seim dissented). Judging by the rate path and verbal guidance, this marks the end of the RB's easing cycle and as such we have now likely reached the terminal rate. Market pricing is currently signalling a 20% probability of one more cut in the next 6 months and although we see the Riksbank as done at 1.75%, an easing bias makes more near-term sense than bets on a quick turnaround into hikes given ours and the RB's growth and inflation outlooks.
- **Flows.** The Swedish savings-investment balance generates net-buying of foreign equities over time, which remains a fundamental headwind for the SEK (see *here* and *here*). Balance of payments data (Q2) show that long trend of diversifying into foreign assets continues amongst Swedish investors and monthly data on mutual funds flows show that Swedish households continue to net-buy global mutual funds (thus implicitly American equities and USD) while at the same time net-selling Swedish equities, see *RtM Sweden*, 17 Oct.
- **Valuation**. Fair value has pulled just below 11.00 according to relative macro, whereas relative rates still see fair value within the 11.15-11.20 interval.
- **Risks.** Seasonality could pull EUR/SEK lower than our near-term forecast, as would Swedish economic and asset outperformance. A setback to global risk sentiment and equities could push EUR/SEK higher, while an unexpected sharp drop in longer US yields could pull the cross lower than projected.

Forecast: 11.00 (1M), 11.20 (3M), 11.30 (6M), 11.40 (12M)



	1M	3M	6M	12M
Danske Bank	11.00	11.20	11.30	11.40
Consensus	10.98	10.97	10.84	10.70
Forward	10.97	10.97	10.97	10.97

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Swedish activity data have recently surprised to the upside, including the August GDP indicator. The labour market is still in a dire state though, albeit some green shoots. In all, we continue to expect no more than a sluggish recovery in the coming quarters and thus we still deem the lacklustre cyclical outlook – this goes for the negative short-term policy and longer-term government bond yield differentials vs the euro zone and Germany as well – as supportive for EUR/SEK. The relative rates implied model estimate runs close to the lower end of the 11.15-11.20 range, an anchor for our near-term forecasts. While the US-government-yield augmented model sees fair value closer to 11.10, a push higher in long US yields as expected would fundamentally underpin EUR/SEK. Swedish mutual fund flows confirm that the spring rotation out from US to Europe has not only faded but turned 180 degrees back to the US again – unhedged. The structural capital flow balance remains a medium-term headwind for the Swedish krona.

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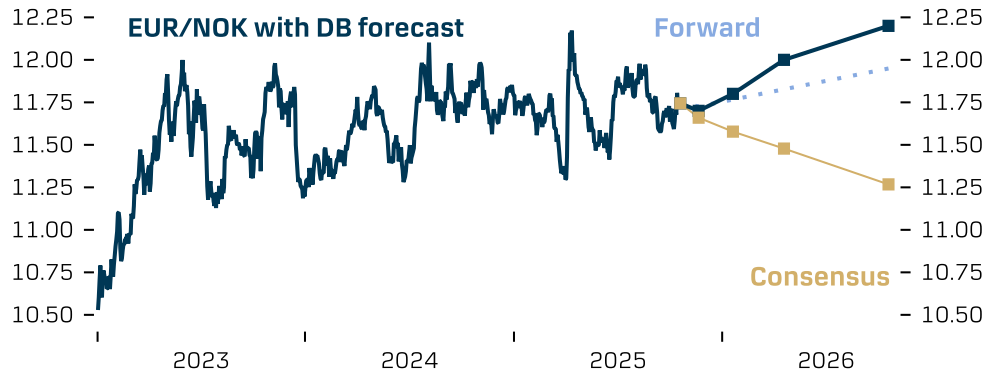
EUR/NOK – long-term trend is still higher

- **Cyclical outlook.** The Norwegian economy continues to operate at levels just below trend potential which in turn has put an upward pressure on unemployment. Meanwhile, the labour market is still relatively tight which combined with meagre productivity growth in turn has kept domestic wage growth at too elevated levels compared to Norges Bank's 2% inflation target. We are, however, experiencing negative momentum across close to all economic indicators and with petroleum investments becoming a drag on both growth and unit labour costs in the coming years the need for as contractionary monetary policy as in 2022-2024 is diminishing.
- **Monetary policy.** At the September monetary policy meeting Norges Bank (NB) delivered its second rate cut in the easing cycle. Meanwhile, the communication was far less dovish than previously with the central bank indicating a zero percent probability of a cut at the forthcoming three meetings. NB's risk assessment for inflation was an important reason for the hawkish signals. In our view, this in turn paves the way for an eventual turnaround. We now pencil in four quarterly rate cuts in 2026 starting in March which would bring the sight deposit rate back to 3.00%. In our view relative rates will be a negative for NOK FX in the coming years.
- **External balances.** Norway runs a neutral current account balance when adjusting for both petroleum related exports and oil-fund financed fiscal spending. Meanwhile, on a net international investment position basis Norway still runs a sizable deficit when adjusting for the oil fund. NB will become a considerable NOK buyer in 2026 (fiscal- and FX reserve cap transactions) but this merely reflects less NOK buying from oil and gas companies amid declining revenues.
- **Valuation.** We expect fair value estimates for EUR/NOK to trend higher in the years to come following the relatively higher unit labours costs in Norway and the tightening of real rate gaps.
- **Positioning.** We regard NOK positioning to be long but not stretched so.

Forecast: 11.70 (1M), 11.80 (3M), 12.00 (6M), 12.20 (12M)



	1M	3M	6M	12M
Danske Bank	11.70	11.80	12.00	12.20
Consensus	11.66	11.58	11.48	11.27
Forward	11.73	11.77	11.83	11.95

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** Risks are closely connected to the global investment environment and hence USD real rates, commodity prices and the relative performance of European assets vs US. Any supply side developments that could impact energy prices (e.g. Iran/Israel conflict) are also likely to have short-term impacts.
- **Conclusion.** We maintain a bullish long-term view on EUR/NOK based on the divergence in relative unit labour costs that creates an underlying real appreciation pressure on the NOK. Also, if we are right that rates are too high in Norway relative to a long-term equilibrium level then real rates spread convergence should also be a EUR/NOK positive. In the very short-term the most important driver is the global environment and not least the health of the US economy and direction of Fed monetary policy. In this regard the bar for negative surprises seems low leaving a topside risk to EUR/NOK also in the short-term.

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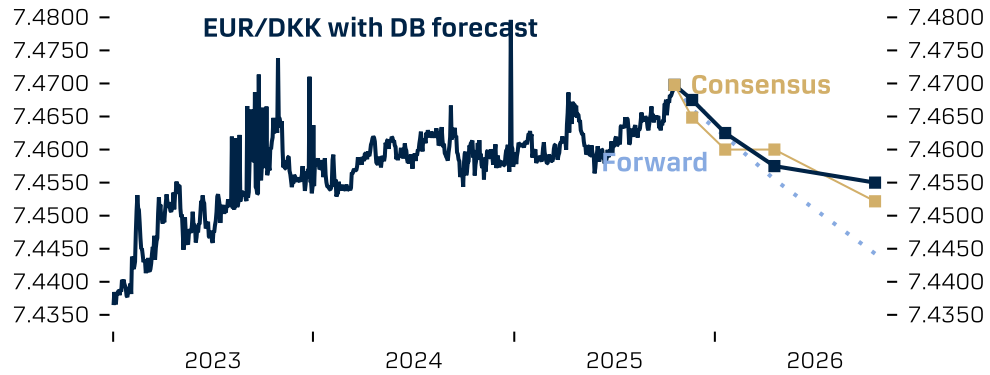
EUR/DKK – Upwards pressure

- **Cyclical outlook.** The cyclical environment looks about neutral for EUR/DKK. Equity markets are shaky, which is slightly positive for EUR/DKK through rebalancing effects. Development in US and in USD/DKK, including developments in tariffs will be important for the earnings potential in the Danish economy considering the significant net exports of pharmaceuticals, but also the large investment in US stocks.
- **Monetary policy.** We now expect the ECB to keep its key policy rate steady at 2.00%, which means we look for Danmarks Nationalbank (DN) to stay on hold at 1.60% thereby maintaining the policy rate spread at -40bp. EUR/DKK has risen towards the top of the historic trading range, which does raise the odds of a unilateral DN rate hike. However, EUR/DKK would likely have to rise to around 7.4730 or higher and DN would have to make FX intervention first before a rate hike would come into play. We do not expect that will happen and look for DN to keep the -40bp policy rate spread to ECB, i.e., should ECB cut again DN would follow 1:1.
- **External balances.** Denmark continues to run a large current account surplus around 10% of GDP with pharmaceutical exports making a big contribution to the trade surplus. The significant surplus which materialises in a large investment need abroad.
- **Valuation.** The strong Danish external balances keep a 'DKK appreciation risk premium' vis-à-vis the EUR in the FX forward curve. Recently, the premium has declined on the back of tighter DKK liquidity conditions and a higher EUR/DKK spot.
- **Positioning.** Recent hedging data from the Danish central bank showed that the domestic life and pension sector reduced its USD hedge below 70% in July and kept it there in August. The ratio is still well above the level from the start of the year. The sector has maintained its EUR hedge ratio. If the sector increases hedge ratios again, it will weigh on EUR/DKK.

Forecast: 7.4675 (1M), 7.4625 (3M), 7.4575 (6M), 7.4550 (12M)



	1M	3M	6M	12M
Danske Bank	7.4675	7.4625	7.4575	7.4550
Consensus	7.4648	7.4600	7.4600	7.4522
Forward	7.4660	7.4620	7.4555	7.4443

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Risks.** EUR/DKK remains exposed to large movements in equity and fixed income markets via the FX hedge rebalancing effect. US equity outperformance will tend to keep EUR/DKK low, while higher long-term bond yields will support a higher EUR/DKK. Political uncertainty in France and fiscal shift in Germany may, over time, put strong Danish macroeconomic balances in an even better light. For now, the former has had little effect on the pair.
- **Conclusion.** We look for EUR/DKK to trade around 7.4675 level near-term as global risk sentiment is likely to stay fragile. We see potential for fundamentals and positioning to drag it further down towards 7.4550 level on 12M. Liquidity conditions have eased and will ease further the coming months, which keeps FX forwards low.

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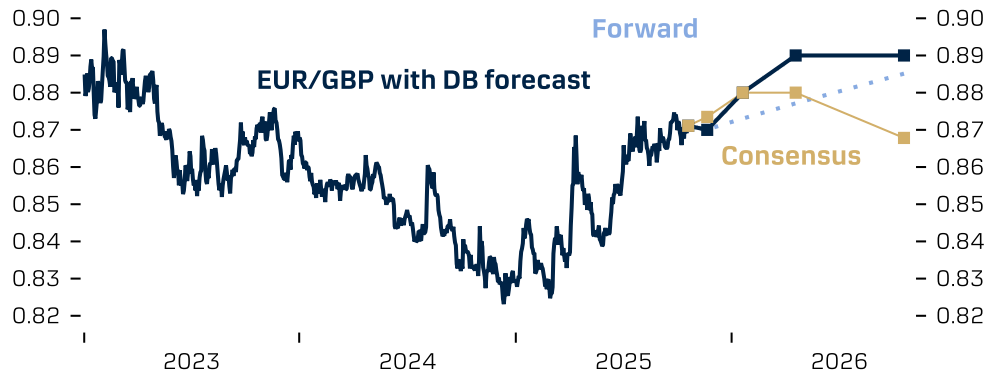
EUR/GBP – headwinds in store for GBP

- **Cyclical outlook**. Growth in the UK remains to the weak side. Growth in the Q2 was largely driven by public spending and retail sales were revised significantly lower for H1. The government is set to present its next budget in November, which we think will include significant tightening of fiscal policy. This should act as a headwind for growth as well. The latest labour market showed continued cooling with private sector wage growth easing as well. The key concern for the Bank of England (BoE) is elevated inflation, where goods inflation has started to pick up in recent months while service inflation remains elevated. Combined with a muted growth outlook and a weakening labour market, this leaves a tricky backdrop for the BoE.
- **Monetary policy**. The BoE decided to keep the Bank Rate unchanged at 4.00% in September, in line with expectations. While the guidance signalling a "careful and gradual" cutting cycle remains in place, Governor Bailey noted that the timing and scale of cuts was now more uncertain than before the August meeting. While we continue to expect the BoE to deliver the next cut in the Bank Rate in November, we acknowledge that this hinges on further disinflationary process. We expect the Bank Rate to end 2026 at 3.50%. We see relative rates as a slight positive for EUR/GBP.
- **External balances.** The UK runs a large current-account deficit, which makes GBP vulnerable when capital inflows fade; this keeps GBP at risk vs EUR in the wake of souring global risk appetite.
- **Valuation.** Our Brexit-corrected MEVA estimate for EUR/GBP is around 0.83 and current levels are thus close to fair-value.
- **Positioning.** Non-commercial positioning is neutral EUR/GBP.
- **Risks.** The key risk to seeing EUR/GBP trade substantially higher than our forecast is a sharp sell-off in global risk and/or renewed focus on the UK's fragile fiscal position. Other risks are closely related to the developments in the relative growth outlook between the euro area and the UK.

Forecast: 0.87 (1M), 0.88 (3M), 0.89 (6M), 0.89 (12M)



	1M	3M	6M	12M
Danske Bank	0.87	0.88	0.89	0.89
Consensus	0.87	0.88	0.88	0.87
Forward	0.87	0.87	0.88	0.89

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** EUR/GBP has moved fairly steady around the 0.87 mark the past month. We see domestic factors and the relative growth outlook between the UK and the euro area as GBP negatives. This is further amplified by divergence in the fiscal policy outlook with UK fiscal policy set to be tightened in the Autumn. Additionally, a global investment environment characterised by elevated uncertainty and a positive correlation to a USD negative environment, in our view, favours a weaker GBP. We forecast EUR/GBP to move higher towards 0.89 on a 6-12-month horizon.

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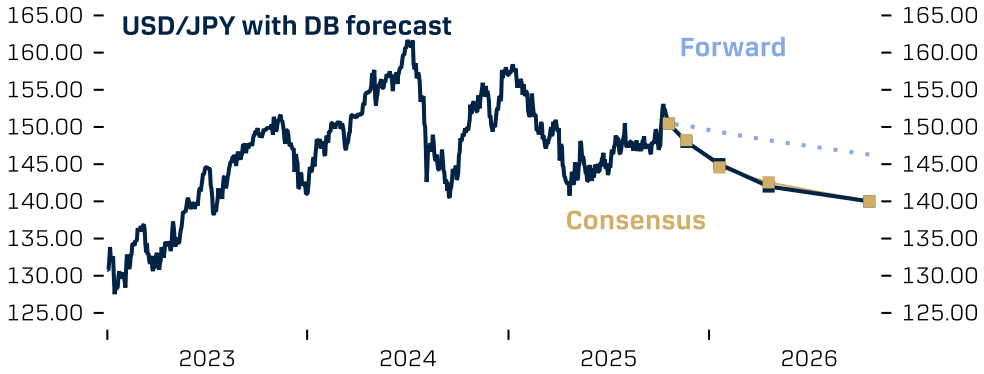
USD/JPY – strategic trend remains lower

- **Cyclical outlook.** Sentiment among Japan's large manufacturers improved for a second consecutive quarter, with the Tankan survey rising in September and reflecting cautious optimism partly supported by the July US–Japan trade deal. Large non-manufacturers remained steady, while overall corporate confidence continues to benefit from resilient inbound tourism and a more predictable US trade environment. The survey reinforces expectations that the Bank of Japan (BoJ) may continue to gradually normalize policy, though the timing of further rate hikes remains uncertain. We expect domestic demand to strengthen gradually in Q4, supported by positive real wage growth. Until now, data have reflected a significant loss of purchasing power as higher wages have not completely compensated for particularly higher food prices. Meanwhile, the unexpected victory of pro-stimulus candidate Sanae Takaichi in the Liberal Democratic Party leadership race — expected to shift fiscal policy in a more expansionary direction — adds a layer of uncertainty. Her formation of a new coalition government points, all else equal, in a more dovish direction for fiscal and monetary policy.
- **Monetary policy.** We now expect the BoJ to remain on hold in October, with the next hike in December, followed by another in April 2026. The central bank is expected to err on the side of caution in light of the pro-stimulus government, making an October move unlikely. For USD/JPY, however, we continue to emphasize that the Fed's cutting cycle remains the dominant driver from a monetary policy perspective.
- **External balances.** The Japanese trade balance, along with terms of trade, has improved markedly since reaching historical lows after the pandemic. Falling imports and rising exports this year have nearly closed the gap caused by the pandemic. The tourism sector appears to be rebounding, which could add some JPY demand to the market.
- **Positioning.** Speculators are stretched long positioned in the JPY.
- **Risks.** The main risk to our forecast is stronger-than-expected US data, which could delay Fed cuts or reverse the US asset sell-off. An energy shock from geopolitical tensions could also pose upside risk.

Forecast: 148 (1M), 145(3M), 142 (6M), 140 (12M)



	1M	3M	6M	12M
Danske Bank	148	145	142	140
Consensus	148	145	143	140
Forward	150	149	148	146

Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Conclusion.** Since our latest update, the JPY has come under pressure, underperforming broadly across the G10 following the unexpected Takaichi victory. While much of the yen's earlier strength from the first half of the year has partially unwound, we continue to see the strategic case for a lower USD/JPY cross as intact, with narrowing rate differentials in sight, although risks have admittedly become more two-sided tactically. As global trade uncertainty recedes, market focus should shift back to incoming data, where the risk of a sharper-than-expected US slowdown could weigh on USD/JPY.

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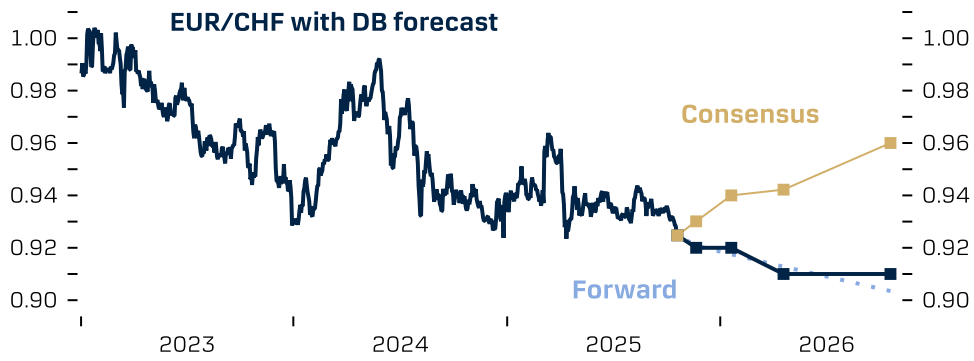
EUR/CHF

Forecast: 0.92 (1M), 0.92 (3M), 0.91 (6M), 0.91 (12M)

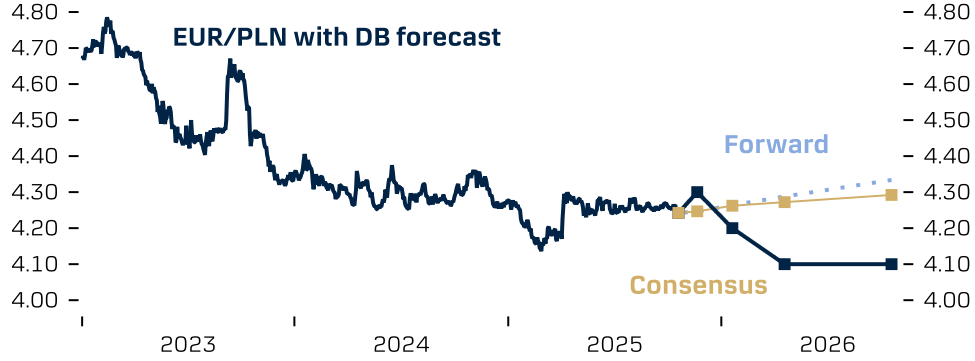


Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The past month, EUR/CHF has dropped below the 0.93 mark and is currently trading at its lowest level since Liberation Day. We remain bearish on EUR/CHF, targeting a sustained move towards 0.91 in 6-12 months.
- The Swiss National Bank (SNB) remains firmly on hold with its policy rate at 0% and we expect this to remain the case. This view was further underscored by a slight uptick in inflation over the past months to just above 0% y/y. Combined with strong fundamentals, we think persistently diverging price levels favour a stronger CHF via the PPP. Additionally, a global investment environment characterised by weak global growth and elevated uncertainty benefits CHF.
- The biggest risks to this call are aggressive FX intervention from the SNB to weaken the CHF and US trade policy hitting Swiss growth substantially.

EUR/PLN

Forecast: 4.30 (1M), 4.20 (3M), 4.10 (6M), 4.10 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- The NBP cut interest rates by 25bp at their September meeting, taking the key rate to 4.75%. Like pretty much all other central banks, they reiterated their data dependent stance, however emphasizing that loose fiscal policy and elevated wage growth remain as risk factors for the inflation outlook. Nevertheless, according to Governor Glapinski, there is a 'cautious will' within the Board to cut rates even further, and we expect at least one more cut during Q4. Should the Polish government opt to extend the freeze on power prices, currently set to lapse 30 September, that would 'change a lot' in Glapinski's view, opening the door for a cut potentially already at the October meeting.
- EUR/PLN remains within the 4.20-4.30 trading range, centered around 4.25, which has been held for soon to be 6 months. The cross struggles to find clear direction amid domestic and geopolitical risks on the one hand, and a robust economic and asset performance on the other. With no fundamental changes to the outlook, we keep our forecast profile intact seeing further consolidation in the near-term followed by a gradual strengthening of the Zloty.

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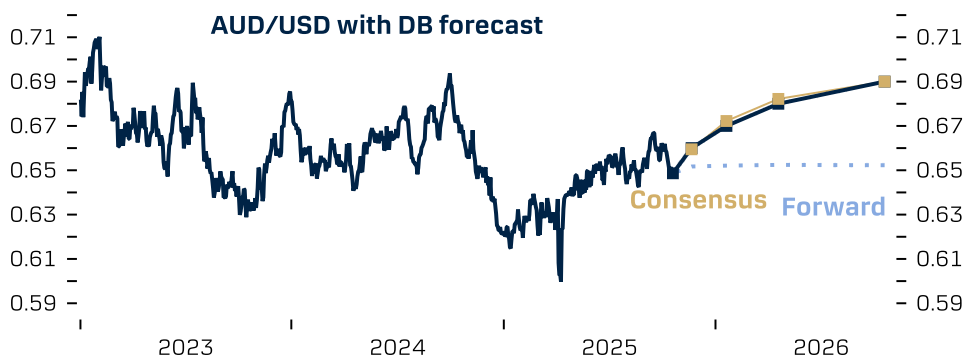
AUD/USD

Forecast: 0.66 (1M), 0.67 (3M), 0.68 (6M), 0.69 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- AUD/USD has trended lower over the past month, driven largely by increasingly cautious risk sentiment. Demand data in key export market China has remained solid, but trade war concerns have not abated.
- The Reserve Bank of Australia (RBA) maintained rates unchanged in September, as widely expected. While RBA cut rates in August, it did not signal imminent plans for further cuts in the later meeting. Even so, markets price in a high 75% likelihood for another cut in early November. RBA continues to balance uncertain global growth outlook with still tight domestic labour markets, but we assess current pricing as fair.
- Australia's terms of trade have improved modestly as prices of industrial metals have recovered. This could provide further tailwind for the cross despite the latest setbacks. Overall, we maintain our forecasts for higher AUD/USD given the improving global growth outlook and signs of structural USD weakness ahead.

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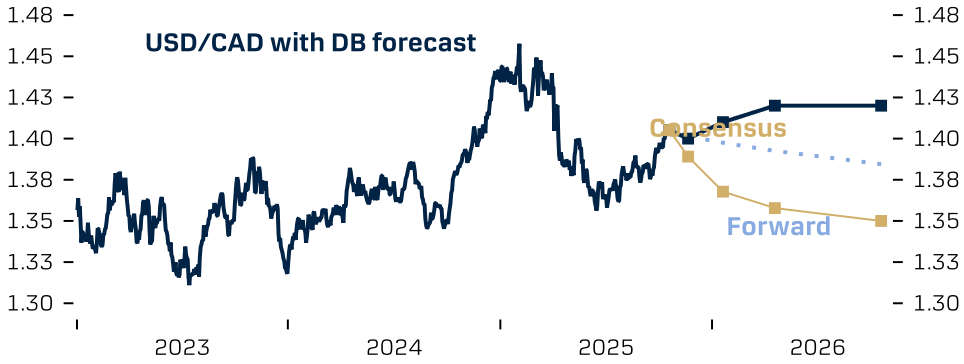
USD/CAD

Forecast: 1.40 (1M), 1.41 (3M), 1.42 (6M), 1.42 (12M)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- Following the rebound in the USD and the decline in energy prices the cross has edged higher since our last update. Near-term this is likely to continue as indicated with our EUR/USD forecast profile. In the very near-term we see topside risk to short-end USD rates which given the front-loaded nature of Bank of Canada's easing cycle could add some support to the cross. We factor in one additional rate cut from Bank of Canada in December – which is close to current market pricing.
- USD/CAD remains a less volatile version of USD/NOK with long-term drivers weighing on the CAD. Going forward, the cross will thus largely be a derivative of the state of the US economy, how cyclically sensitive assets perform globally and relative monetary policy.
- In light of the recent move higher in the spot we lift our profile slightly but maintain a similar profile.

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USD/CNY - gradual trend lower to continue

- **CNY the past month.** USD/CNY moved higher over the past month from a low in September at 7.1024 to now around 7.12. It reflects overall USD appreciation. PBOC has continued to fix the USD/CNY gradually lower.
- **Growth outlook.** Economic data continues to be weak for the domestic demand but robust for exports and the tech sector. Retail sales grew only 3.0% y/y in September and home sales continued a declining trend from an already low level. Export growth was robust at 8.3% y/y despite a 25% drop to the US as shipments to the Global South and Europe has been strong. GDP growth in Q3 declined from 5.2% to 4.8%. We expect more stimulus soon to lift the domestic economy and put China on track for close to 5% growth again in 2026 (our forecast is 4.8%).
- **Monetary policy.** The People's Bank of China (PBOC) cut the policy rate by 10bp and reduced the Reserve Requirement Ratio for banks by 50bp on 6 May but has stayed put since then. Fed easing and recent CNY appreciation provides new room for easing monetary policy soon. We expect PBOC to be ease policy again in the coming months, but it may be with targeted measures to specific sectors rather than broad based rate cuts as they are concerned over the risk of a liquidity-fuelled equity bubble in the A-share market.
- **FX policy**. Since summer 2023, PBOC has used the USD/CNY fixing more actively and with the recent decline in the fixing, PBOC sends a signal it would like to see a gradual appreciation of the yuan alongside the overall weakening of the USD. The fixing sets the middle of the +/-2% daily trading band. While the nominal trade weighted currency is broadly flat the real trade weighted currency is down by around 20% over the past 3-4 years.
- **Flows.** China has a current account surplus of 2% of GDP driven by a high and rising goods trade surplus close to 7% of GDP. The service balance is negative, though, due to a pick-up in outbound tourists. Net FDI is clearly negative as inbound FDI is weakening while outbound FDI has increased as Chinese companies go global (EV, battery, solar companies etc.) and also increasingly invest in South East Asia where tariff rates to the US are lower.

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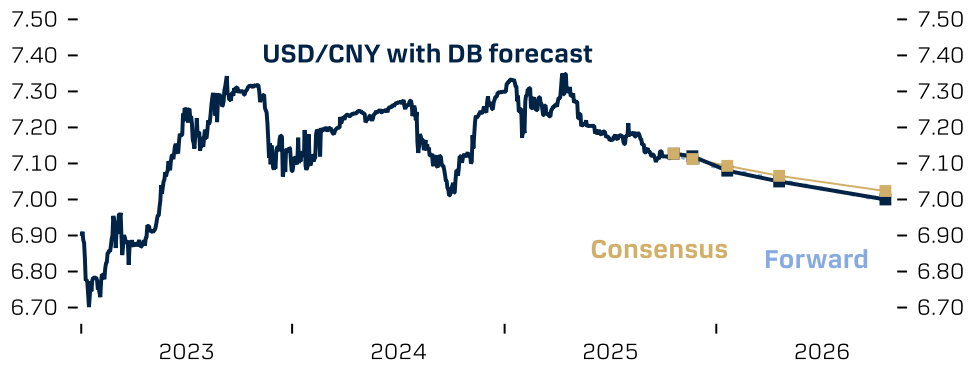
Forecast: 7.12 (1M), 7.08 (3M), 7.05 (6M), 7.0 (12M)



	1M	3M	6M	12M
Danske Bank	7.12	7.08	7.05	7.00
Consensus	7.11	7.09	7.07	7.02
Forward	7.11	7.08	7.05	7.00

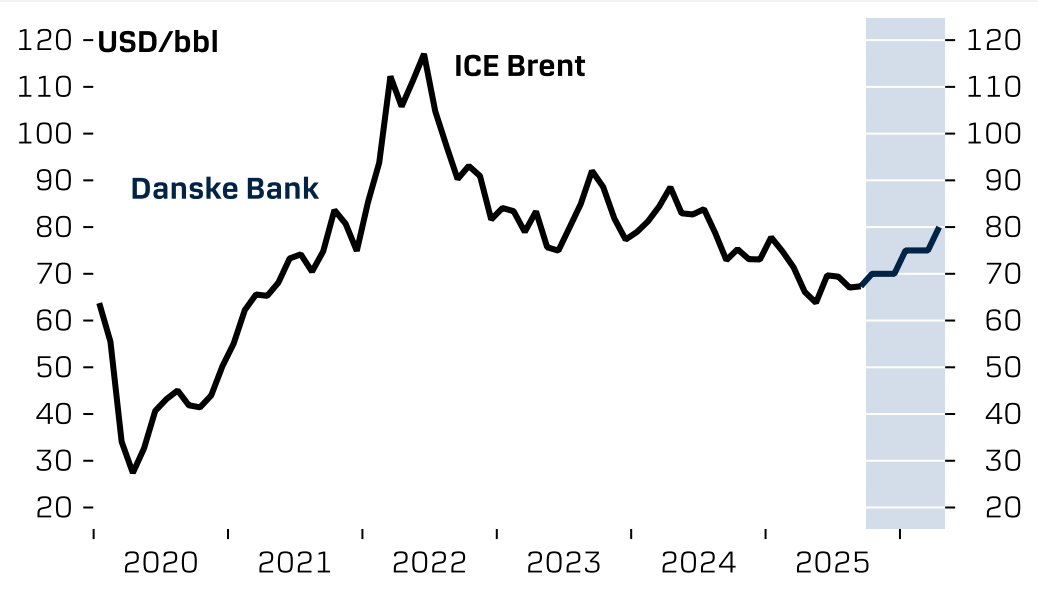
Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

- **Valuation.** With a continuously rising trade surplus and depreciation of the real currency, the CNY looks increasingly undervalued in the long run.
- **Risks.** The uncertainty to the outlook is high due to unpredictability of Trump's policies and uncertainty over how much appreciation of CNY PBOC will tolerate. In the medium term an upside risk to USD/CNY is the potential forming of an equity bubble, which could subsequently burst and cause instability and capital outflows as seen in 2015/16.
- **Conclusion.** We keep our forecast unchanged and continue to see a decline on a 12M horizon towards 7.00. Broad dollar weakening and rising willingness by PBOC to see CNY strengthening are the main drivers. Our forecast implies a moderate rise in EUR/CNY which is in line with a continued high correlation between EUR/USD and EUR/CNY.

Oil – market balance shifts higher

- **Macro.** OPEC+ announced another, albeit smaller, output hike for November – the eighth in a row. The swift rise of OPEC+ production has added to global oil supply. The cartel has room to hike output further and will likely do so in the coming years with the risk that output increases will continue to be front-loaded.
- Oil demand has taken a hit following renewed trade tensions between US and China, which threatens to hit global trade and thereby oil demand. There is still a good chance of tensions to ease again though. The peace deal between Israel and Hamas will further dampen precautionary demand for oil as it eases geopolitical uncertainty.
- Saudi Arabia sharply increased its oil output in June, which likely explain why oil prices did not increase more than they did following the escalation of the conflict between Israel and Iran. It proves that strong automatic stabilisers are present in the oil market right now and help mitigate the impact, e.g. from geopolitical uncertainty. The US has continued buying oil for its strategic reserves but could also halt these purchases if global oil supply was hit and likewise increase purchases if prices fall too much.
- Finally, economic growth, among other places in the US, is at risk of slowing, but the Federal Reserve will likely cut interest rates to the extend necessary to keep the economy from falling into a recession.
- **Risks.** The risks to our oil price forecast are high – in particular in the short term, where the outcome space for the conflict in the Middle East and trade talks remains wide. There is also a chance that Russia's energy exports might be hit by more sanctions.
- **Conclusion.** We look for Brent to average USD70/bbl in Q4, USD75/bbl in Q4 and further rise to USD85/bbl next year. The rise over the coming year reflects a reversion to a more normal level for the oil output as we do not expect the current level of prices will be sustainable over the medium term.

Forecast: 70 (Q4), 75 (Q1'26), 80 (Q2'26), 85 (Q3'26), 85 (Q4'26)



Note: Past performance is not a reliable indicator of current or future results
Source: Macrobond Financial, Danske Bank

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Danske Bank FX forecasts vs EUR

G10				Last Update:	20/10/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs EUR					
EUR/USD	1.16	1.15	1.18	1.20	1.22
EUR/JPY	175	170	171	170	171
EUR/GBP	0.87	0.87	0.88	0.89	0.89
EUR/CHF	0.92	0.92	0.92	0.91	0.91
EUR/SEK	10.97	11.00	11.20	11.30	11.40
EUR/NOK	11.71	11.70	11.80	12.00	12.20
EUR/DKK	7.4685	7.4675	7.4625	7.4575	7.4550
EUR/AUD	1.79	1.74	1.76	1.76	1.77
EUR/NZD	2.03	1.95	1.97	1.94	1.94
EUR/CAD	1.63	1.61	1.66	1.70	1.73
EM					
	Spot	+1m	+3m	+6m	+12m
EUR/PLN	4.24	4.30	4.20	4.10	4.10
EUR/HUF	389	390	400	420	420
EUR/CZK	24.3	24.3	24.3	24.2	24.2
EUR/TRY	48.9	49.1	52.0	55.4	61.4
EUR/ZAR	20.1	19.9	20.4	20.7	20.9
EUR/CNY	8.29	8.19	8.35	8.46	8.54
EUR/INR	102.5	101.2	104.4	106.8	109.8

Source: Danske Bank

Danske Bank FX forecasts vs DKK

G10				Last Update:	20/10/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs DKK					
USD/DKK	6.41	6.49	6.32	6.21	6.11
JPY/DKK	4.26	4.39	4.36	4.38	4.36
GBP/DKK	8.60	8.58	8.48	8.38	8.38
CHF/DKK	8.10	8.12	8.11	8.20	8.19
SEK/DKK	0.68	0.68	0.67	0.66	0.65
NOK/DKK	0.64	0.64	0.63	0.62	0.61
EUR/DKK	7.4685	7.4675	7.4625	7.4575	7.4550
AUD/DKK	4.18	4.29	4.24	4.23	4.22
NZD/DKK	3.68	3.83	3.79	3.85	3.85
CAD/DKK	4.57	4.64	4.49	4.38	4.30
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/DKK	1.76	1.74	1.78	1.82	1.82
HUF/DKK	0.19	0.19	0.19	0.18	0.18
CZK/DKK	0.31	0.31	0.31	0.31	0.31
TRY/DKK	0.15	0.15	0.14	0.13	0.12
ZAR/DKK	0.37	0.38	0.37	0.36	0.36
CNY/DKK	0.90	0.91	0.89	0.88	0.87
INR/DKK	0.073	0.074	0.071	0.070	0.068

Source: Danske Bank

Danske Bank FX forecasts vs SEK

G10				Last Update:	20/10/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs SEK					
USD/SEK	9.42	9.57	9.49	9.42	9.34
JPY/SEK	6.25	6.46	6.55	6.63	6.67
GBP/SEK	12.63	12.64	12.73	12.70	12.81
CHF/SEK	11.89	11.96	12.17	12.42	12.53
EUR/SEK	10.97	11.00	11.20	11.30	11.40
NOK/SEK	0.94	0.94	0.95	0.94	0.93
DKK/SEK	1.47	1.47	1.50	1.52	1.53
AUD/SEK	6.14	6.31	6.36	6.40	6.45
NZD/SEK	5.41	5.64	5.69	5.84	5.89
CAD/SEK	6.71	6.83	6.73	6.63	6.58
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/SEK	2.59	2.56	2.67	2.76	2.78
HUF/SEK	2.82	2.82	2.80	2.69	2.71
CZK/SEK	0.45	0.45	0.46	0.47	0.47
TRY/SEK	0.22	0.22	0.22	0.20	0.19
ZAR/SEK	0.55	0.55	0.55	0.55	0.54
CNY/SEK	1.323	1.343	1.341	1.336	1.335
INR/SEK	0.107	0.109	0.107	0.106	0.104

Source: Danske Bank

Danske Bank FX forecasts vs NOK

G10				Last Update:	20/10/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs NOK					
USD/NOK	10.05	10.17	10.00	10.00	10.00
JPY/NOK	6.67	6.87	6.90	7.04	7.14
GBP/NOK	13.48	13.45	13.41	13.48	13.71
CHF/NOK	12.69	12.72	12.83	13.19	13.41
SEK/NOK	1.07	1.06	1.05	1.06	1.07
EUR/NOK	11.71	11.70	11.80	12.00	12.20
DKK/NOK	1.57	1.57	1.58	1.61	1.64
AUD/NOK	6.55	6.71	6.70	6.80	6.90
NZD/NOK	5.78	6.00	6.00	6.20	6.30
CAD/NOK	7.16	7.27	7.09	7.04	7.04
EM					
	Spot	+1m	+3m	+6m	+12m
PLN/NOK	2.76	2.72	2.81	2.93	2.98
HUF/NOK	3.01	3.00	2.95	2.86	2.90
CZK/NOK	0.48	0.48	0.49	0.50	0.50
TRY/NOK	0.24	0.24	0.23	0.22	0.20
ZAR/NOK	0.58	0.59	0.58	0.58	0.58
CNY/NOK	1.41	1.43	1.41	1.42	1.43
INR/NOK	0.11	0.12	0.11	0.11	0.11

Source: Danske Bank

Overview USD SEK NOK DKK GBP JPY CHF PLN AUD CAD CNY Oil Tables

Danske Bank FX forecasts vs USD

G10				Last Update:	20/10/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs USD					
EUR/USD	1.16	1.15	1.18	1.20	1.22
USD/JPY	151	148	145	142	140
GBP/USD	1.34	1.32	1.34	1.35	1.37
USD/CHF	0.79	0.80	0.78	0.76	0.75
USD/SEK	9.42	9.57	9.49	9.42	9.34
USD/NOK	10.05	10.17	10.00	10.00	10.00
USD/DKK	6.41	6.49	6.32	6.21	6.11
AUD/USD	0.65	0.66	0.67	0.68	0.69
NZD/USD	0.57	0.59	0.60	0.62	0.63
USD/CAD	1.40	1.40	1.41	1.42	1.42
EM					
	Spot	+1m	+3m	+6m	+12m
USD/PLN	3.64	3.74	3.56	3.42	3.36
USD/HUF	334	331	339	350	344
USD/CZK	20.85	21.13	20.59	20.17	19.84
USD/TRY	41.94	42.70	44.10	46.20	50.30
USD/ZAR	17.25	17.30	17.28	17.24	17.16
USD/CNY	7.12	7.12	7.08	7.05	7.00
USD/INR	87.93	88.00	88.50	89.00	90.00

Source: Danske Bank

Danske Bank FX forecasts vs GBP

G10				Last Update:	20/10/2025
	Spot	+1m	+3m	+6m	+12m
Exchange rates vs GBP					
GBP/USD	1.34	1.32	1.34	1.35	1.37
GBP/JPY	202	196	194	191	192
EUR/GBP	0.87	0.87	0.88	0.89	0.89
GBP/CHF	1.06	1.06	1.05	1.02	1.02
GBP/SEK	12.63	12.64	12.73	12.70	12.81
GBP/NOK	13.48	13.45	13.41	13.48	13.71
GBP/DKK	8.60	8.58	8.48	8.38	8.38
GBP/AUD	2.06	2.00	2.00	1.98	1.99
GBP/NZD	2.33	2.24	2.23	2.17	2.18
GBP/CAD	1.88	1.85	1.89	1.91	1.95
EM					
	Spot	+1m	+3m	+6m	+12m
GBP/PLN	4.88	4.94	4.77	4.61	4.61
GBP/HUF	448	448	455	472	472
GBP/CZK	27.96	27.93	27.61	27.19	27.19
GBP/TRY	56.27	56.44	59.13	62.29	68.95
GBP/ZAR	23.13	22.87	23.17	23.24	23.52
GBP/CNY	9.55	9.41	9.49	9.51	9.60
GBP/INR	118.07	116.32	118.67	120.00	123.37

Source: Danske Bank

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